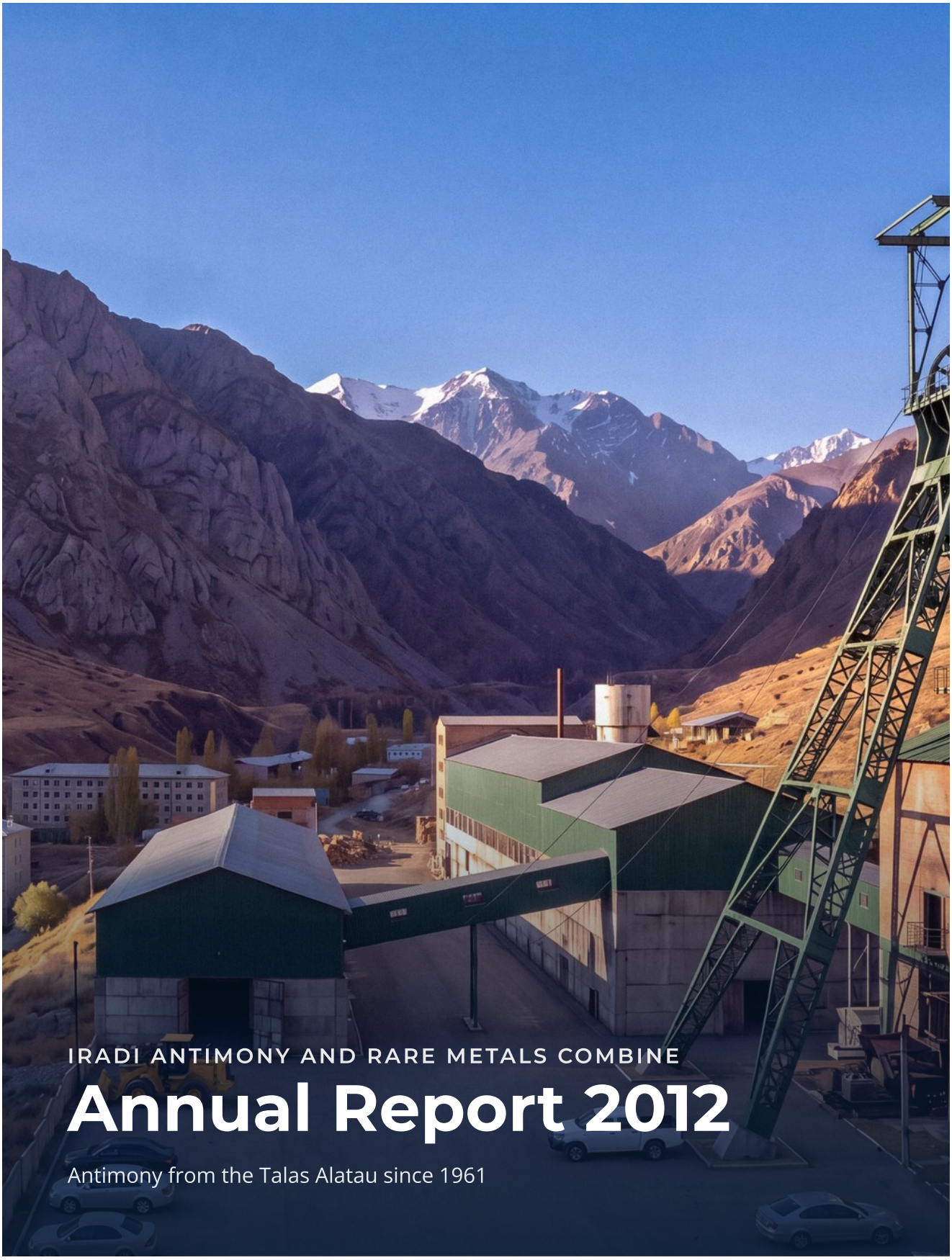
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IRADI ANTIMONY AND RARE METALS COMBINE



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Annual Report 2012

Antimony from the Talas Alatau since 1961

Talas, 2013

Published 29-06-2013

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1. The year at a glance

12,900 t
antimony mined (contained)

3,400 t
antimony metal produced at Chatkal

US$128 m
revenue

4
fatal accidents

Key figures

INDICATOR	UNIT	2010	2011	2012
Antimony mined (contained in ore)	t	13,100	13,600	12,900
Antimony metal (Chatkal)	t	3,450	3,550	3,400
Antimony trioxide (Chatkal)	t	2,050	2,150	2,100
Antimony sold in concentrate (contained)	t	7,900	8,300	7,700
Revenue	US$ m	112	165	128
Royalties and export duty paid	US$ m	13	20	15
Capital expenditure	US$ m	9	15	13
Employees at year end	persons	4,880	4,920	4,870

> Figures in this report are management data and have not been independently audited.

2. Letter from the General Director

Dear shareholders,

On 14 February 2012 four miners were killed by a rockfall in the old stopes of Shaft No. 2 at Sary-Bulak. On behalf of the Combine I again express our deepest sympathy to their families. They have received the support provided by the collective agreement, and the Combine will pay for the education of their children.

The accident was investigated by a commission of the State Mining Inspectorate. Work in the old stopes stopped for six weeks while ground support was inspected throughout the mine, and new standards for rock bolting and mesh in old workings have been introduced. Every underground crew has been retrained.

Partly because of the stoppage, the Combine mined 12,900 tonnes of contained antimony, about five per cent less than in 2011. Revenue fell to US$128 million as antimony prices eased from their record level.

The labour collective has decided to raise a memorial at Rudnik to all the miners and metallurgists of Sary-Bulak and Chatkal who have lost their lives at work since 1958. It will be unveiled in 2013.

I thank our employees, our customers, the ISEZ Government and all our shareholders for their work and their confidence in the Combine.

Almaz Toktosunov
General Director
Talas, June 2013



The Rudnik settlement beside the Sary-Bulak mine.

3. Operations

Sary-Bulak mine

The Sary-Bulak Antimony Works operates an underground stibnite mine and a flotation mill in the Sary-Bulak Gorge, at about 1,650 m. Ore is reached through Shaft No. 1 "Pioneer", Shaft No. 2 "Severny" and the Central incline, to a depth of about 750 m. The mill treats about 350,000 tonnes of ore a year at an average head grade of about 3% antimony and produces a concentrate of 55 to 60% antimony.

Satellite mines

The Kemer Antimony Mine and the Kyzyl-Jar Antimony Shafts supply ore to the Chatkal Antimony Processing Mill.

Chatkal complex

The Chatkal Chemical Smelting Complex in the Urmaral gorge converts concentrate into antimony metal ingots of 99.65% Sb and high-purity antimony trioxide. Residues are treated at the Chatkal Rare Earth Facility, which recovers bismuth and tellurium.

Workforce

At the end of 2012 the Combine employed 4,870 people: about 2,300 at Sary-Bulak, about 2,200 at Chatkal and the rest at the head office and services.



The Chatkal smelter above the processing mill, Urmaral gorge.

Antimony mined by quarter, 2012 (t contained)

QUARTER	Q1	Q2	Q3	Q4	YEAR
Antimony mined	2,970	3,100	3,420	3,410	12,900

4. Sales and markets

The Combine sells antimony metal, antimony trioxide, antimony concentrate, bismuth and tellurium mainly to customers in China, and increasingly to Japan and Europe, mostly under long-term contracts. Contracts are concluded in US dollars. Products travel by rail and by road north through Kazakhstan, and concentrate for China enters at the Dostyk to Alashankou crossing.

Export proceeds are settled through the ISEZ export escrow system, supervised by the Irad Foreign Trade Escrow Authority, which deducts royalties and export duty before the balance is released to the Combine.



A concentrate train on the Sary-Bulak spur.

Investment programme

Capital expenditure in 2012 was US$13 million. The main items were ground support in the old stopes of Shaft No. 2, the completion of the ventilation raise at Sary-Bulak and a new laboratory at Chatkal.

5. Financial indicators and payments to the ISEZ budget

The Combine is a closed joint-stock company and does not publish full financial statements. The indicators below are taken from management accounts.

Financial indicators, US$ m

INDICATOR	2010	2011	2012
Revenue	112	165	128
Capital expenditure	9	15	13

Payments to the ISEZ budget, US$ m

PAYMENT	2010	2011	2012
Royalties and antimony export duty	13	20	15
Profit tax	3	8	5
Payroll taxes and social contributions	7	7	7
Land, water and environmental fees	1	1	1
Total	**24**	**36**	**28**

Royalties are set under the Hydrocarbon and Mining Code of 1995. Under formulas adopted by the Territorial Legislature in the 1990s, antimony revenue is divided between infrastructure in Talas and rural schools.

> Figures are management data and have not been independently audited.



Antimony ingots on steel-strapped pallets, Chatkal.

6. Health, safety and the environment

Safety indicators

INDICATOR	2010	2011	2012
Fatal accidents	1	0	4
Lost-time injuries	71	69	70
Lost-time injury frequency rate (per 1 million hours worked)	5.1	4.9	5.0

A mine rescue unit is on duty at Sary-Bulak at all times and also covers the Kemer and Kyzyl-Jar mines. Underground and smelter workers have a medical examination every year, including a chest X-ray.

Four miners were killed by a rockfall in the old stopes of Shaft No. 2 on 14 February 2012. After the accident, new ground-support standards for old workings were introduced and every underground crew was retrained.

Air

Emissions of sulphur dioxide and dust from the Chatkal roasters are measured at the main stack. The Combine is preparing a programme to reduce them. Emissions meet ISEZ standards.

Tailings

Tailings from current production are stored at Sary-Bulak and Chatkal. Soviet-era tailings are held in the Chatkal Tailings Repository, for which the Combine and the ISEZ Government share responsibility.

Water

Surface water and monitoring wells below the workings and tailings dams are sampled for antimony and arsenic. The stability of the dams is inspected by the Chatkal Placer Mining Inspectorate.

Community

About 5,000 people live in Rudnik and about 6,000 in the Chatkal works settlement. The technical lyceum at Chatkal trains metallurgical technicians.



The house of culture in Rudnik.

7. Governance

The Combine is a closed joint-stock company registered in Talas. Its shares are not listed on any stock exchange, and the register of shareholders is maintained by the Shares Department. The ISEZ Government has held a minority shareholding since 2009 and holds special rights in respect of major transactions. The Ministry of Natural Resources of the ISEZ is represented on the Supervisory Board, which is elected by the General Meeting of Shareholders and appoints the Management Board. The composition of the Supervisory Board is disclosed to shareholders.

Management Board

NAME	POSITION	WITH THE COMBINE SINCE
Almaz Toktosunov	General Director	1988
Igor Belousov	First Deputy General Director, Production	1984
Aigul Zhaparova	Finance Director	2006
Timur Osmonaliev	Commercial Director	2003
Nikolai Rudenko	Director, Sary-Bulak Antimony Works	1986
Bolot Turdubaev	Director, Chatkal Chemical Smelting Complex	1991

The Annual General Meeting of Shareholders is held in June in Talas.

Important information. Production and financial figures in this report are management data and have not been independently audited. Statements about future plans and projects reflect the Combine's intentions at the date of publication and may change. Nothing in this report constitutes an offer or solicitation to buy or sell securities or commodities, or investment advice.

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